

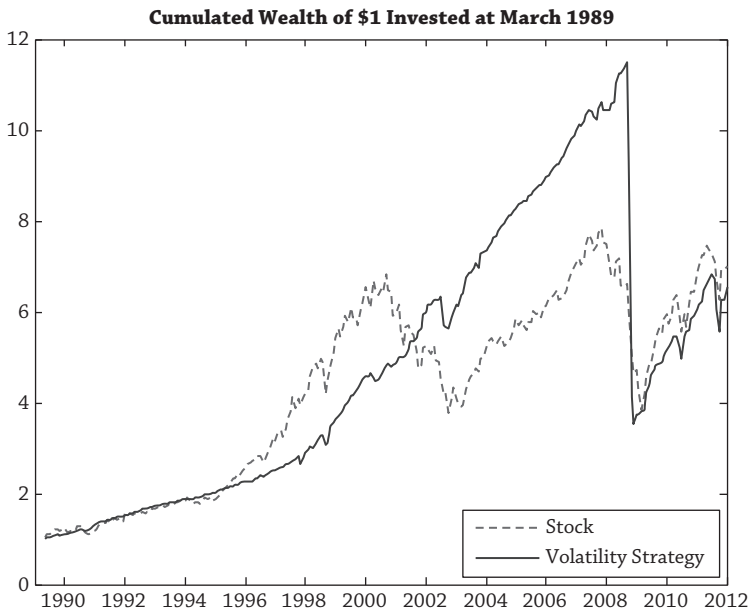


Figure 2.1

protection against increases in volatility. When volatility jumps, investors with short volatility positions suffer losses. These losses represent gains to those who have bought volatility protection. The seller’s position is similar to that of a fire insurance company: the insurer collects premiums when there is no fire. When a fire breaks out, the insurance company experiences a loss, which is the payout to the policyholder. (In this chapter I will always refer to volatility strategy profits from the point of view of the investor selling volatility insurance.)

The losses from short volatility strategies can be horrendous. In Figure 2.1, there are some blips in the cumulated wealth in the volatility strategy like the 1998 emerging markets crisis, the recession and turbulence following the 9/11 attacks of 2001 and even a little wobble during the beginning of the subprime crisis in 2007. But overall returns marched steadily upward—until late 2008, when the global financial crisis caused volatility to skyrocket and stocks around the world crashed. From September to December of 2008, the volatility strategy lost more than 70%. Then in 2009, when policymakers stabilized the financial markets, the volatility strategy’s profitability recovered. For comparison, Figure 2.1 also overlays the cumulated wealth of \$1 invested in the S&P 500. Stock returns have exhibited more swings than the volatility strategy and from 2000 to 2010, stock returns ended the first decade of the twenty-first century flat (the *Lost Decade*). They rode a rollercoaster getting there though, dipping down through the early 2000s recession, climbing upward during the mid-2000s and then also